

# LIMURU TEA COMPANY LIMITED

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## ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2012

The Board of Directors is pleased to announce the company's unaudited results for the six months ended 30 June 2012 as below

| BALANCE SHEET                                   |                |  |                |
|-------------------------------------------------|----------------|--|----------------|
|                                                 | As At 30.06.12 |  | As At 30.06.11 |
|                                                 | Shs'000        |  | Shs'000        |
| <b>CAPITAL EMPLOYED</b>                         |                |  |                |
| Share capital                                   | 24,000         |  | 24,000         |
| Retained Earnings & reserves                    | 117,251        |  | 92,772         |
| <b>Total equity</b>                             | <b>141,251</b> |  | <b>116,772</b> |
| <b>Non Current Liabilities</b>                  |                |  |                |
| Deferred income tax                             | 20,129         |  | 13,577         |
| Post employment benefit obligation              | 16,068         |  | 13,936         |
|                                                 | <b>36,197</b>  |  | <b>27,513</b>  |
| <b>Total equity and non current liabilities</b> | <b>177,448</b> |  | <b>144,285</b> |
| <b>REPRESENTED BY</b>                           |                |  |                |
| <b>Non current assets</b>                       |                |  |                |
| Property, plant and equipment                   | 2,800          |  | 2,951          |
| Biological assets                               | 88,020         |  | 66,198         |
|                                                 | <b>90,820</b>  |  | <b>69,149</b>  |
| <b>Current assets</b>                           |                |  |                |
| Receivables from parent company                 | 78,016         |  | 81,763         |
| Current income tax-Asset                        | 3,689          |  | -              |
| Cash at bank and in hand                        | 10,730         |  | 9,554          |
|                                                 | <b>92,435</b>  |  | <b>91,317</b>  |
| <b>Current Liabilities</b>                      |                |  |                |
| Trade and other payables                        | 5,807          |  | 8,447          |
| Current income tax-Liability                    | -              |  | 7,734          |
| <b>Net current assets</b>                       | <b>86,628</b>  |  | <b>75,136</b>  |
|                                                 | <b>177,448</b> |  | <b>144,285</b> |

| CASH FLOW STATEMENT                          |                |  |                |
|----------------------------------------------|----------------|--|----------------|
|                                              | As at 30.06.12 |  | As at 30.06.11 |
|                                              | Shs '000       |  | Shs '000       |
| Net cash from operating activities           | 13,682         |  | 12,460         |
| Net cash used in investing activities        | 0              |  | (140)          |
| Net cash used in financing activities        | (9,000)        |  | (9,000)        |
| Increase in cash and cash equivalents        | 4,682          |  | 3,320          |
| <b>Movement in cash and cash equivalents</b> |                |  |                |
| At start of year                             | 6,048          |  | 6,234          |
| Increase                                     | 4,682          |  | 3,320          |
| <b>At end of June</b>                        | <b>10,730</b>  |  | <b>9,554</b>   |

# LIMURU TEA COMPANY LIMITED

| PROFIT & LOSS ACCOUNT                   |                          |  |                          |
|-----------------------------------------|--------------------------|--|--------------------------|
|                                         | Jan-Jun 2012<br>Shs '000 |  | Jan-Jun 2011<br>Shs '000 |
| Turnover                                | 33,444                   |  | 36,333                   |
| Profit before income tax                | 678                      |  | 9,292                    |
| Income tax (expense)                    | (137)                    |  | (2,847)                  |
| Profit attributable to the shareholders | 541                      |  | 6,446                    |
|                                         |                          |  |                          |
| Issued shares of Kshs. 20 each          | 1,200,000                |  | 1,200,000                |
|                                         |                          |  |                          |
| Earnings per share (Shs)                | 0.45                     |  | 5.37                     |
| Total Dividends per share (Shs)         | -                        |  | -                        |

## COMMENTARY

### Performance

In half year June 2012 the company produced 959,070 kilograms of green leaf, which in turn was manufactured into 230,728 kilograms of black tea. This was a 3% reduction in crop volumes compared to half year June 2011.

Total revenues reduced by 8% from KShs. 36 million in June 2011 to KShs. 33 million in June 2012. This was attributed to adverse weather conditions with dry spells in first half of the year.

The company posted a pre-tax profit of KShs. 0.7 million in half year June 2012 compared to KShs. 9.3 million in 2011. The 93% decrease in pre-tax profits compared to same period previous year is attributed to the 3% reduction in crop, cost inflation and different phasing of fertiliser expenditure partially mitigated by higher interest income.

### Dividend

The Directors do not recommend an interim dividend.

### Prospects

Crop volumes in the half year June 2012 are lower than in the first half of 2011 due to reduced rainfall between February and April 2012. The 1<sup>st</sup> quarter 2012 was very dry and damage to tea bushes from repeated frost impacting on crop volumes. USD tea prices continue to be favourable but the Kenyan shilling continues to strengthen; if weather and market conditions improve then 2012 should be an average year.



Bonnie Okumu  
COMPANY SECRETARY  
 21 August 2012